Reimbursement Authorities

The law behind the Expense Reimbursement Policy: each rule the policy follows, its source, and the choice it decided. Companion to the policy and its request form.

THE CORPORATION'S OWN LAW

Bylaws Section 4.11 prohibits compensation for board service and permits reimbursement of reasonable expenses "in accordance with policies approved by the Board"; Section 6.11 applies the same standard to officers. The Expense Reimbursement Policy is the policy those sections call for. The Conflict of Interest Policy governs any reimbursement in which a covered person holds an interest, and the Document Retention and Destruction Policy governs the records.

WASHINGTON LAW

The Washington Nonprofit Corporation Act does not prescribe reimbursement mechanics. It governs through the standards of conduct: directors and officers who approve payments must act in good faith, with prudent care, in the corporation's best interests (RCW 24.03A.495 for directors, RCW 24.03A.590 for officers). The cross-approval rule in the policy is how the corporation shows that care on the face of its records.

FEDERAL TAX LAW

Reimbursements are tax-free to the recipient only under an "accountable plan" as defined in Treasury Regulation section 1.62-2 (26 CFR 1.62-2). The regulation imposes three requirements: a business connection to the organization's purposes, adequate substantiation, and return of any excess advance. Its fixed-date safe harbor treats substantiation within 60 days of the expense, and return of excess within 120 days, as reasonable. Reimbursements outside these rules are treated as income to the recipient.

For vehicle travel, Internal Revenue Code section 170(i) fixes the charitable mileage rate at 14 cents per mile by statute; reimbursing volunteers above that rate can create taxable income to them. Rather than administer a 14-cent program, the corporation reimburses no mileage at all. Volunteers, including directors and officers, may be able to deduct their own qualifying charitable mileage at the statutory rate on their personal returns. Per diem allowances follow employee tax conventions and are likewise not used; meals are reimbursed at actual documented cost.

WHAT EACH RULE DECIDED

POLICY CHOICE	SOURCE	REASON
No payment for board service; expenses only	Bylaws 4.11, 6.11	The bylaws prohibit board compensation; the policy stays on the permitted side of the line.
Substantiation within 60 days, receipts and business purpose	26 CFR 1.62-2 fixed-date safe harbor	Keeps every reimbursement inside the accountable plan, so it is not income to the recipient.
Excess advances returned within 120 days	26 CFR 1.62-2 fixed-date safe harbor	The policy deadline and the federal safe harbor are the same test.
No mileage reimbursement	IRC 170(i)	The statutory 14-cent ceiling makes tax-safe volunteer mileage more administration than benefit; volunteers may deduct qualifying mileage on their own returns instead.
No per diem; meals at actual documented cost	26 CFR 1.62-2	Per diem allowances are an employee convention; actual costs with receipts keep volunteer meals inside the accountable plan.
No self-approval; Treasurer and Chair cross-approve	RCW 24.03A.495, .590	The standards of conduct require impartial judgment; cross-approval documents it.
Conflicted reimbursements follow the COI process	Bylaws Article IX; Appendix A	An interested payment is a conflict transaction and takes the disclosure and recusal path.
Records retained	Retention Policy; 26 CFR 1.62-2 substantiation	The substantiation that makes the plan accountable must survive to prove it.

Citations verified against the published statute and regulation texts. This page describes the law as it bears on the policy; where they differ, the law governs.